

The Claremont City Council held a meeting on Wednesday, April 22, 2020, via Zoom.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Mayor Lovett read the following statement: *This meeting is being conducted in accordance with the provisions of the Governor's Executive Order no. 2020-04 and the emergency meeting provisions of RSA 91-A to permit participation of board members by electronic means. Under the conditions of the current COVID-19 pandemic and the protocols established by the Centers for Disease Control (CDC), it is not reasonably practical for a quorum of this board's members to attend this meeting in person.*

Join Zoom Meeting

By Phone: 1-646-558-8656 US (New York)

Meeting ID: 987 0892 3149

Password: 849277

If there is a problem getting through to that number, please call 603-542-7002.

Members of the Council present were:

Ward I Councilor Andrew O'Hearne
At-Large Councilor Abigail Kier
At-Large Councilor Erica Sweetser
Assistant Mayor Allen Damren
Mayor Charlene Lovett
At-Large Councilor Debora Matteau
At-Large Councilor Nicholas Koloski
Ward II Councilor James Contois
Ward III Councilor Jonathan Stone

Also present:

Edward Morris, City Manager
Mary Walter, Finance Director

AGENDA CHANGES

None

MAYOR'S NOTES

- Today marks the 50th anniversary of Earth Day. People can pick up trash along City roads. Everyone is encouraged to coordinate their efforts with Public Works as they have a list of areas that need attention.

- Thanked Jason Laffin and Ben Mariam, small business owners, for taking the initiative to clean up graffiti in their neighborhood
- Draft letter received by Councilors encouraging state government to make the expansion of net metering a priority. Letter drafted at the request of several municipalities that participate in the municipal roundtable for renewable energy of which Claremont is a member. Unless Council directs otherwise, Claremont will continue with its support of net metering and will be a signatory on the letter.

CITY MANAGER'S REPORT

- **Fire** –Fire Department- call volume is down from previous months. Personal Protective Equipment (PPE) shipment was received. The department is doing some deep cleaning of the Fire Station.
- Hoping for delivery of the new pumper tanker for the Fire Department in early 2021.
- The Fire Department is ordering equipment and getting ready to flow test the fire hydrants in the City to gather data for the next ISO (Insurance Services Office) rating in 2022.
- **Airport** – The 1927 hangar has been disassembled. It will be moved and reassembled at the NH Aeronautical Museum in Londonderry, NH.
- Through some of this COVID-19 response, the City will be receiving \$30,000 from the FAA for the airport apron project.
- **Social Distancing** –
- Everyone needs to continue practicing social distancing, washing hands, and maintaining vigilance.
- **Washington and Bowen** –
The municipal agreement between the City of Claremont, and NHDOT was approved by Governor and Council and the construction start date is expected in early to mid-June.
- **Cemeteries Plan** - Spring clean-up has begun in preparation for Memorial Day.
- **Memorial Day** – From the American Legion Post 29, the Memorial Day Parade has been cancelled. They are working on a virtual ceremony. The City Parks and Recreation Department has offered help with that, if needed.
- **Clean up days** - Roadside leaf pickup is scheduled for the week of the April 27th. Due to COVID-19 and the need for social distancing, the City is hosting three separate tire days at the Transfer Station. Also due to the COVID-19 situation, we are extending our Earth Day Clean Up campaign. We are asking people to get out and help clean up our streets and neighborhoods from April 18th to May 3rd. If you are looking for areas to clean-up, contact Public Works. Take safety precautions along the streets. If you find any sharps or needles, contact the Claremont Police Department for disposal.
- The Board of Assessors (BOA) will meet in the next few weeks regarding the Governor's Emergency Order 25 about possible waiver of penalties and interest for taxes.
- Charlestown Road safety audit has been approved.
- Arrowhead Recreation Area window replacements started today.
- A tentative agreement has been reached with the Police Union and we hope to bring the agreement to the Council next month for ratification.

Mr. Koloski asked what a single hydrant that is out of service will do to the ISO rating. Over the years, a couple of hydrants have been taken out of service. He would like to know that before the ISO rating is set. Mr. Morris will look into it.

Mr. Koloski said several meetings ago, he wanted an update from the Police Department (i.e. the Hero Pup has arrived in the City; top officers have left). Mr. Morris said he can get that information sent in the monthly report.

Ms. Matteau asked about a deficit because of COVID-19. Mr. Morris said that would be talked about during the COVID-19 Update and that the numbers are very early. This will be split between two fiscal years. Ms. Matteau was concerned with the numbers and what the strategy is for mitigation. Mr. Morris expects there is not a really big effect this year. The Claremont Savings Bank Community Center will have the biggest revenue loss. Most of those employees have been furloughed and we will see some savings there. Ms. Matteau asked for a list of all employees that have been furloughed and the savings. She asked how much involvement the Council will have in the paving plan that was previously discussed, and whether or not it will be built into the budget. Mr. Morris said that can be discussed during the budget process. Some preventative maintenance will be done this year.

Mr. Koloski said someone contacted him regarding the North and Main Streets Project and he would like an update. Mr. Morris will put that in the next City Manager's Report.

CITIZEN'S FORUM

Walt Stapleton, Ward 3 resident and NH House Representative, said if constituents have problems with PPP or stimulus (\$1,200 or \$600) to contact him at 603-995-1034, or waltstapleton@juno.com. He said he's been listening to the State Finance Committee and the Governor's GOFERR Committee regarding opening the state. There is nothing definite, yet.

OLD BUSINESS

COVID-19 Update

Mayor Lovett said the City Manager and she have participated in multiple conference calls regarding financial impacts, transitioning to recovery, and avoiding reoccurrence of COVID-19. Practicing social distancing and following CDC guidelines is critical to opening the economy. She asked the Council to consider voting to continue meeting remotely until the CDC guidelines are relaxed, and if the Council approves meeting remotely, to expand the purpose of Council meetings from essential business only to actionable items.

A motion was made by Ms. Kier and seconded by Ms. Matteau to meet remotely until the CDC guidelines are relaxed and to expand the purpose of Council meetings from essential business only to actionable items.

Mr. Koloski said he would like to see this as two separate motions.

After discussion, the motion was amended to read:

A motion was made by Ms. Kier and seconded by Ms. Matteau to meet remotely until CDC guidelines are relaxed.

Mr. O'Hearne said he was taken aback that this is being done under an update. This agenda item is listed as an update, not an action item. Mayor Lovett said it was a continuation of a discussion at a previous meeting where there was a consensus that Council would meet remotely. Mr. O'Hearne said the discussion was to have the discussion at this meeting, but he didn't see it referenced on the agenda. Mr. O'Hearne said he was also taken aback by the agenda forcing Councilors to go to Zoom, but Mr. Morris did tell him by email that he didn't have the authority to kick Councilors out of Council Chambers. He said if this was going to be a discussion, it should have been listed as a new item, not an update. Mr. Stone believes Councilors who want to meet in Chambers should be able to while others attend the meeting via Zoom. Mayor Lovett said the audio is better when all are on Zoom and it opens opportunities to go into non-public, if desired.

Mr. Morris said going full Zoom makes it easier for people to call in and hear the meeting. If Councilors need Wi-Fi access, he can put people in multiple offices.

Roll call vote:

O'Hearne - no

Kier - yes

Sweetser - abstain

Damren - yes

Matteau - yes

Koloski - yes

Contois - yes

Stone - no

Lovett - yes

Motion carried 6-2 with 1 abstain.

A motion was made by Ms. Kier and seconded by Ms. Matteau to expand the purpose of Council, meetings from essential business only to actionable items.

Mr. Morris said we are moving to conduct all meetings virtually. He would like to open all meetings to not just essential business only. This should be for all boards.

Mr. Damren suggested the motion should include boards and commissions.

After discussion, the motion was changed to:

A motion was made by Ms. Kier and seconded by Ms. Matteau to expand the purpose of the Council, board, commission, and committee meetings from essential business only to actionable items.

There was a discussion about Council's authority over other boards.

Ms. Kier withdrew the motion and Ms. Matteau withdrew her second.

A motion was made by Mr. Damren and seconded by Ms. Matteau for the Council to move to expand the purpose of Council meetings from essential business only to include actionable items, and to direct the City Manager to request from NHMA (New Hampshire Municipal Association) what authority the Council has regarding the business and agenda items of the separate boards, committees and commissions within the City of Claremont.

Roll call vote:

O'Hearne - no

Kier - yes

Sweetser - yes

Damren - yes

Matteau - yes

Koloski - yes

Contois - yes

Stone - no

Lovett - yes

Motion carried 7-2.

Mayor Lovett thanked all who have incorporated CDC guidelines into their lives and donated their time and/or resources to others during this Stay-at-Home Order. She thanked the essential workers for all they are doing during this pandemic. The number of COVID-19 cases continues to be low due to the cooperation of our community members, so she thanked the community as well.

Mr. Morris:

- There was a large increase in new virus cases, 97, for a total of 1,588 in the state.
- City Staff is looking for, and working on, reimbursements through FEMA grants, etc. The City is asking for \$11,000 from the Department of Justice (DOJ) for first responder hours, overtime, and equipment.
- President Trump unveiled his plan for states to reopen. Part of the President's plan is to have 14 days of declining numbers, so we are 2-3 weeks away from that.
- Talked about revenue losses and said these are very early preliminary draft numbers. The preliminary number now is looking like \$292,000; some can be pushed to next year. CSBCC memberships will be extended, so the revenue will be received in this FY, but the revenue loss will show up next year.
- Temporary license plate numbers are up right now. It is unknown if we will have an increase or decrease in those numbers. We need to plan for the worst.

- These are really draft numbers.
- Working with Parks and Recreation Director Mark Brislin on campaigns to bring in new memberships. To split the loss between two years is “lucky.”
- Public Works is working with a skeleton crew; they will soon be back to full staffing.
- Some guidance is changing. In the beginning, if someone was infected with COVID-19, the whole staff would have to be quarantined, now if one person is infected, that one person is quarantined and the others have to watch themselves.
- Working with Library and CSBCC to phase in opening. The Library is planning to block off most areas and have people order, then pick up books in the front area.

Mr. Damren said he was asked by a citizen if it is true that Claremont, as of today, is in the “red” by \$1.4 million. Mr. Morris said that number is preliminary. He believes that as we get further into this, the overall cost will come down and will be spread over two years. The numbers that NHMA had asked for were through December 2020, so depending upon when we are able to reopen, the numbers will change. We have moved to essential spending only and we are saving some money on furloughed employees.

NEW BUSINESS

Auditors Presentation

Tammy Webb, Vachon Clukay & Company PC, lead auditor on the City’s audit, showed a PowerPoint presentation.

- Independent Auditor’s Report
 - Unmodified or “clean” opinions for all reporting units again this year
 - Risk-based auditing and unpredictable testing continue to be the basis for quality auditing
 - Focus continues on areas deemed to be high-risk for:
 - Potential fraud
 - Material misstatements in the financial statements
- The Audit Process
 - Control testing over cash receipts, cash disbursements and payroll on a rotating basis
 - Review of adjusting journal entries recorded by the Finance Department
 - Examination of all credit card purchases
- General Fund Budget and Actual Comparison
 - Actual revenues and other financing sources exceeded the budgeted amounts by \$184,000
 - Total expenditures and other financing uses were \$1,336,000 lower than the approved general fund budget
 - End result is that the City’s ending fund balance is \$1,520,000 higher than originally budgeted
- Budgetary Fund Balance
 - \$4,906,544

- **Budgetary Fund Balance**
 - Unassigned fund balance of \$2,764,915 = 16.6% of General Fund's budgeted operating expenditures for FY19
 - City's fund balance policy = maintain 5-15% of budgeted General Fund operating expenditures each fiscal year
 - City has been successful in consistently achieving/exceeding this fund balance goal for the past 5 years
 - City's policy for its unassigned fund balance is consistent with GFOA's recommendations
 - Fund balance policy is to be reviewed and approved on an annual basis
 - In consideration of the current uncertainties, the City may wish to reassess its present fund balance policy and determine if revisions are necessary
- **Future Pronouncement**
 - GASB Statement No. 84 – Fiduciary Activities is effective for the City's financial statements during the year ending June 30, 2020
 - As of 6/30/19, the City's agency funds consist of the following:
 - School District funds held by the Trustees of Trust Funds
 - Escrow funds
 - The following activity will be included within the City's financial statements:
 - Property taxes collected on behalf of the School District and the County
 - Motor vehicle permit fees and other fees collected on behalf of the State of NH
 - What are new reporting changes
 - "Agency" funds are being replaced with "Custodial" funds
 - Balance sheet will no longer consist of only assets and liabilities
 - Annual activity will now be included on the Statement of Changes in Fiduciary Net Position (additional reporting)
- **Federal Grants**
 - Year ended 6/30/19, City expended approximately \$662,000 in federal awards
 - No separate federal compliance audit is required for 2019
 - In the past 5 years, the City has been awarded and expended in excess of \$3.3 million in federal awards
- **Governance Communication**
 - Required communication to the Mayor, City Council and management summarizing the overall audit for the year. Key items are as follows:
 - No new standards or policies with financial statement impact were adopted or implemented during the fiscal year
 - Listing of the material audit adjustments
 - No separate management letter was issued
 - Noted no transactions entered into by the City during the year for which there is a lack of authoritative guidance
 - Encountered no difficulties in dealing with management

Mr. Damren congratulated and thanked Finance Director Mary Walter and the Finance Department staff for the clean audits over the last few years; very good accomplishment.

There was a discussion about Councilors not receiving a copy of the Management Letter and that it went to the Mayor and Assistant Mayor, was signed by the Assistant Mayor, and was sent in to the auditors. Mr. Koloski asked that it be reflected in the minutes that he would like the Council to see that letter going forward.

Multi-Year Agreement for Auditing Services

Mr. Morris said this was put out to bid, including sending to six companies; only two bids were received; one was significantly higher than the other. There are only three firms that can handle an account that is our size. He recommended approval of this agreement with Vachon Clukay & Company.

There was a discussion about this request. Mr. O'Hearne asked how long this company has been the City's auditors. It's been five years. Mr. Koloski asked about a benefit to changing firms annually. Mr. Morris said there's a lot of work that has to be done in the first year and that cost gets spread out throughout the agreement term. Mr. Morris said going with this company again is okay, but after the end of the next three to five-year agreement, he would recommend going with another company in order to have a "new set of eyes" on the books.

Mr. O'Hearne asked how long the average agreement is. Ms. Walter said in the 19 years she's been with the City, we have had all three of the major auditing firms.

A motion was made by Ms. Matteau and seconded by Mr. Damren to authorize the City Manager to enter into a multi-year agreement with the firm of Vachon Clukay & Company, PC to provide annual audit services for the City pursuant to RSA 49-C:23, IV in the amount of \$32,500 for the FY 2020 audit. The agreement contains an annual non-renewal clause in the event of non-appropriation of sufficient funds for the second, third, fourth and fifth years of the agreement; such funds required to be expended in the first year of the agreement having been raised and appropriated in the current City Budget.

Roll call vote:

O'Hearne - no

Kier - yes

Sweetser - yes

Damren - yes

Matteau - yes

Koloski - no

Contois - yes

Stone - no

Lovett - yes

Motion carried 6-3.

Resolution 2020-21 Insulation and Air Sealing DPW Building – Public Hearing

WHEREAS, an energy audit was prepared by Sustainable Energy Education Demonstration Services and was funded by Eversource Energy in May 2019; and

WHEREAS, the City wishes to incorporate some of its recommendations by completing various projects included in the audit; and

WHEREAS, several areas of the west wall are showing considerable structural decay because the blocks have suffered from freeze/thaw conditions and settling which represents an over 40% loss of heat; and

NOW, THEREFORE, BE IT RESOLVED, in order to become more energy efficient, the City wishes to insulate the exterior of the concrete block walls and above the roof decks by installing exterior rigid foam insulated siding – 3” R15; and

BE IT FURTHER RESOLVED, that the project is estimated to cost \$70,000 with Eversource providing an estimated \$35,000 incentive; and

BE IT FURTHER RESOLVED, to raise and appropriate the sum of \$35,000 with the City providing \$35,000 from three (3) separate budgets for Building and Maintenance Repairs: 01-441-510-0000; 90-490-510-0000; and 92-492-510-0000 with the remaining \$35,000 to come from unanticipated revenue from Eversource’s rebate incentive and;

BE IT FURTHER RESOLVED, that the City Manager, or his designees, are hereby authorized to undertake all actions and execute all documents related to this resolution.

Victor St. Pierre, Public Works Director, an energy audit was conducted for the Public Works building. It was built in 1940 of block, with no insulation. This request is to insulate the outside wall and the ceiling. Eversource will rebate 50%. Energy savings is estimated at 2,549 gallons year with an estimated payback of 6.4 years. Environmentally, that saves 66 tons of CO². The building is approximately 12,000 sq ft. Some of the blocks are starting to move and cracks are appearing; the insulation will help seal those up. Regarding the North & Main Street Project, some trees behind the building will be cut, exposing that side of the building and the new siding will make it look better.

Mr. O’Hearne asked how much was coming from each line item. Mr. Morris said \$11,666.66.

A motion was made by Mr. Contois and seconded by Mr. Koloski to adopt Resolution 2020-21 Insulation and Air Sealing DPW Building.

Mr. Contois read the resolution into the record.

Mayor Lovett opened the public hearing. No one spoke. She closed it.

Roll call vote:

O’Hearne - yes

Kier - yes

Sweetser - yes

Damren - yes

Matteau - yes

Koloski - yes

Contois - yes

Stone - yes

Lovett - yes

Motion carried 9-0.

FUTURE AGENDA ITEMS AND DIRECTIVES

Mayor Lovett said Council needs to discuss budget dates.

Mr. Koloski said he has concerns about the Comcast franchise agreement that have not been addressed. He would like to discuss this before the City enters an agreement.

Mr. Koloski said when Councilors send emails asking that they get forwarded to the rest of the Council, he doesn’t think they are getting forwarded. He gave an example of his most recent request and Mr. Morris said he is doing research on it; he will send it out.

After a brief discussion about holding a budget meeting, it was the consensus of the Council to hold it on a Saturday and to add an additional meeting, if needed. Mayor Lovett will send out options.

Mr. Morris said the proposed budget should go out by May 1st. He asked if Councilors had any questions prior to the meeting, to send them to him by email so staff can gather the information.

Mr. Koloski talked about a previous discussion regarding a TIFD on Charlestown Road (for drainage issues, etc.) and said he would like to hear if there is a plan. Mr. Morris said he would bring that forward.

CONSULTATION WITH LEGAL COUNSEL

None

ADJOURNMENT

At 8:47 p.m., a motion was made by Mr. Damren and seconded by Mr. O’Hearne to adjourn.

Roll call vote:

O’Hearne - yes

Kier - yes
Sweetser - yes
Damren - yes
Matteau - yes
Koloski - yes
Contois - yes
Stone - yes
Lovett - yes
Motion carried 9-0.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council